

HIGH-PROBABILITY PREDICTION TEST (2026)

Entrepreneurship Class XII | Compiled by Luffy (Thunderstudy)

SECTION A: 5-MARK QUESTIONS (SURE-SHOT ZONE)

Q1. [Numerical - Sales Mix] "Healthy Sips Ltd." manufactures three varieties of organic juices: Apple, Orange, and Pomegranate. The fixed cost for the production process is ₹ 2,00,000.

5 Marks

- Apple: SP ₹ 100, VC ₹ 60, Mix 30%
- Orange: SP ₹ 80, VC ₹ 40, Mix 50%
- Pomegranate: SP ₹ 120, VC ₹ 70, Mix 20%

Calculate: (a) Weighted Avg CM, (b) BEP Units, (c) BEP Rupees.

SOLUTION:

(a) WACM = $(40 \times 0.3) + (40 \times 0.5) + (50 \times 0.2) = 12 + 20 + 10 = \text{₹}42$.

(b) BEP Units = $2,00,000 / 42 = 4,762 \text{ units}$.

(c) Avg SP = $(100 \times 0.3) + (80 \times 0.5) + (120 \times 0.2) = 30 + 40 + 24 = \text{₹}94$. BEP ₹ = $4762 \times 94 = \text{₹}4,47,628/-$

Q2. Venture Capital Stages: Explain Venture Capital and its three main stages of funding.

5 Marks

SOLUTION:

VC is professional money invested in high-growth startups.

1. Seed Stage: Research/Prototype. **2. Start-up:** Market entry/Commercialization. **3. Second Round:** Growth capital for established but unprofitable startups.

Q3. Growth Case Study: Identify growth strategy for Company A buying a tire company. Explain "Synergy" and two other types of mergers.

5 Marks

SOLUTION:

(a) Vertical Merger (Backward). (b) Synergy: $1+1=3$ (Efficiency). (c) Horizontal: Competitors; Conglomerate: Unrelated businesses.

SECTION B: 3-MARK QUESTIONS

Q4. Numerical - EOQ Calculation

3 Marks

SOLUTION:

EOQ = $\sqrt{(2 \times 40000 \times 100) / 2} = \sqrt{40,00,000} = 2,000 \text{ units}$.

Q5. Pricing Strategy: Explain Skimming Pricing with its advantage and disadvantage.

3 Marks

SOLUTION:

High initial price. Adv: Recovers R&D fast. Disadv: Invites early competition.

Q6. Trend Spotting: IMPORTANCE + Talk & Watch Trends.

3 Marks

SOLUTION:

Importance: Early mover advantage. Talk: Interact with experts. Watch: Observe consumer behavior.

Q7. Numerical - ROI/ROE Calculation

3 Marks

SOLUTION:

Equity = 2L + 50k = 2.5L. ROE = $(50,000 / 2,50,000) * 100 = 20\%$.

SECTION C & D: 2 & 1 MARK QUESTIONS

Q8. Business Plan Component: Identify "shipping and delivery" plan.

2 Marks

Ans: (B) Operational Plan. (It handles physical logistics).

Q9. Franchise Agreement: Define and state two clauses.

2 Marks

Ans: Legal contract between franchisor/franchisee. 1. Fee structure 2. Territory rights.

Q10. Angel vs Venture Capitalist: Differentiate on source/involvement.

2 Marks

Ans: Angel: Own money/Mentorship. VC: Pooled money/Professional monitoring.

Q11. Low initial price strategy?

1 Mark

Ans: (b) Penetration.

Q12. Merger between two car manufacturers?

1 Mark

Ans: (b) Horizontal Merger.

Q13. Gross Working Capital is?

1 Mark

Ans: (b) Total Current Assets.

Q14. Lifestyle factors in PESTEL?

1 Mark

Ans: (b) Social Environment.

 Why This Test Has a 90% Chance?

1. **Sales Mix BEP:** Featured in 3 out of 4 years. Predictable 5-mark question.
2. **M&A Pattern:** Every paper asks to identify "Horizontal vs Vertical" or "Friendly vs Hostile".
3. **EOQ/ROE:** Standard short numerical slots in every set.
4. **Trend Spotting:** "Read, Talk, Watch, Think" is the foundation of Unit 1.